MAHATMA GANDHI UNIVERSITY

MGU-UGP HONOURS EXAMINATION APRIL 2026

SECOND SEMESTER -ADVANCED HOTEL ACOUNTING I

PART A

1. A **credit note** is a document issued by a seller to a buyer indicating that a certain amount has been credited to the buyer's account.
2. Triple column cash book-A cash book that contains three amount columns on both sides.
3. **A** contra entry is a transaction recorded in accounting that affects both the cash account and the bank account at the same time**.**
4. Double column cash book

Date	Prs.	LF	cash	Bank	Date	Prs.	LF	cash	Bank

5. Sales Book - Subsidiary book which records only credit sale of goods.
6. Objectives of Trial Balance:
   a) To check the arithmetical accuracy of ledger accounts.
   b) To locate the error.
7. Features of trial balance:
   a) Summary of ledger accounts
   b) Two sides statements
   c) Based on double entry statement
   d) Prepared periodically
8. Format of Trial balance

S.No.	Name of Account	LF	Debit	Credit

9. Depreciation means decrease in the value of fixed asset due to wear and tear,obsolescence etc.
10. Capital expenditure, Revenue expenditure and Deferred revenue expenditure.
11. Capital expenditure is spending on assets that will benefit the business for more than one accounting period.
12. Period of benefit and Purpose
13. A savings account is used to save money while earning a small amount of interest**.**
14. Revenue expenditure refers to the money spent on the day-to-day operations of a business**.**
15. Features of depreciation:

    a) Reduction in asset value
    b) Applicable to fixed assets

PART B

16. Advantages of Petty cash Book:

    a) Economy of time
    b) Simple method
    c) Lesser chances of mistakes
    d) Frauds can be minimised.

17. Error of commission: It is an error caused by wrong recording, posting, or calculation**.**

    Error of omission: It is an error caused by not recording a transaction**.**

18. Importance of BRS**:**

    a) Ensures accuracy
    b) Detect errors
    c) Prevent fraud
    d) Show correct bank balance

19. Purchase return book: is a book of accounts used to record goods returned to suppliers.

Date	Particulars	LF	Debit Note No.	Amount

    Sales Return Book is a book of accounts used to record goods returned by customers

Date	Particulars	LF	Credit Note No.	Amount

20. Causes of differences:

    a) Transactions that usually appear in the cash book but not in the pass book
    b) Transaction that usually appear in the pass book but not in the cash book.

21. Bank Reconciliation Statement: Answer 3,140

PART C

22. Cash Book: A subsidiary book which records cash receipt and cash payments.

    Types of cash book:

    a) Single column cash book
    b) Double column cash book
    c) Triple column cash book

23. Sub division of journal : The division of the journal into different special journals **to** record similar types of transactions separately.

    Advantages:

    a) Division of labour
    b) Easy reference
    c) Easy posting
    d) Prevents errors and frauds.

24. Trial Balance as on 31/12/2020

    Answer: 8,13,050